

10.4 COVERED CALL STRATEGY

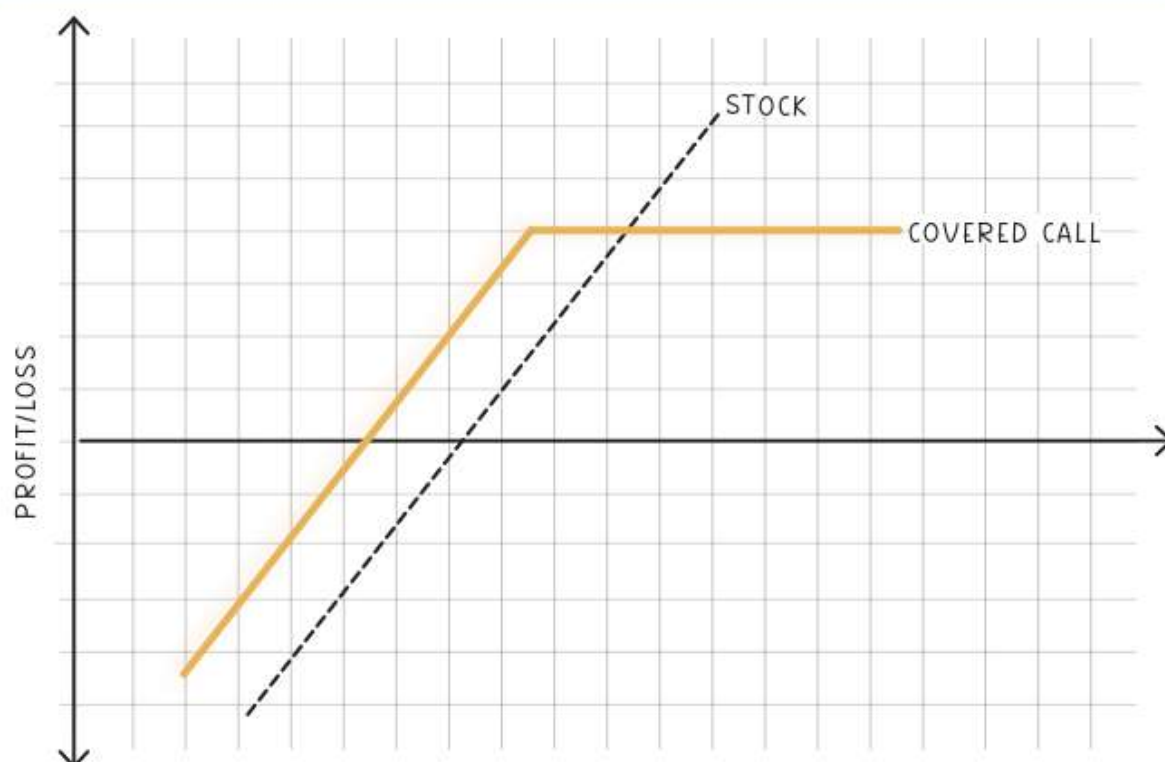


Explainer Video

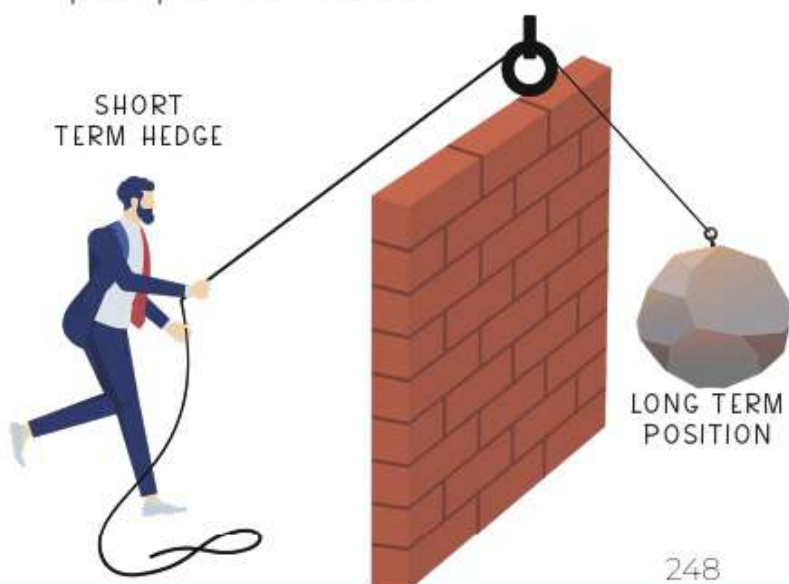
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A COVERED CALL IS A TRADING STRATEGY WHERE A LONG POSITION IS TAKEN IN CASH OR FUTURES MARKET AND ITS UPSIDE IS LIMITED BY SELLING SAME AMOUNT OF CALL OPTIONS TO BENEFIT FROM THE PREMIUM.

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When one expects the markets in general to fall and they have a large chunk of shares, they can sell call options to collect the premium and compensate for the losses that they would incur if the stock falls down. However, here the losses are not limited. The profit potential is limited.



WE EARN INCOME BY RECEIVING A PREMIUM FOR THE CALL WE SELL, IRRESPECTIVE OF THE PRICE AT EXPIRY.